The Battle for 7-Eleven

A Turning Point in Japanese M&A?

© María Hergueta

11 Pages

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Easy Level

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Is Japan Open for Business?

For decades, Japan was considered impenetrable to foreign takeovers. But a recent flurry of activity, including a high-profile bid for 7-Eleven's parent company, suggests the tide may be turning.

Source: Nippon

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7-Eleven Bid: A Wake-Up Call

The proposed $47 billion acquisition of Seven & i Holdings by Canada's Alimentation Couche-Tard (ACT) is a watershed moment for Japanese M&A.

This could be Japan's biggest foreign-led takeover.

Source: Chiara Leone-Ganado.

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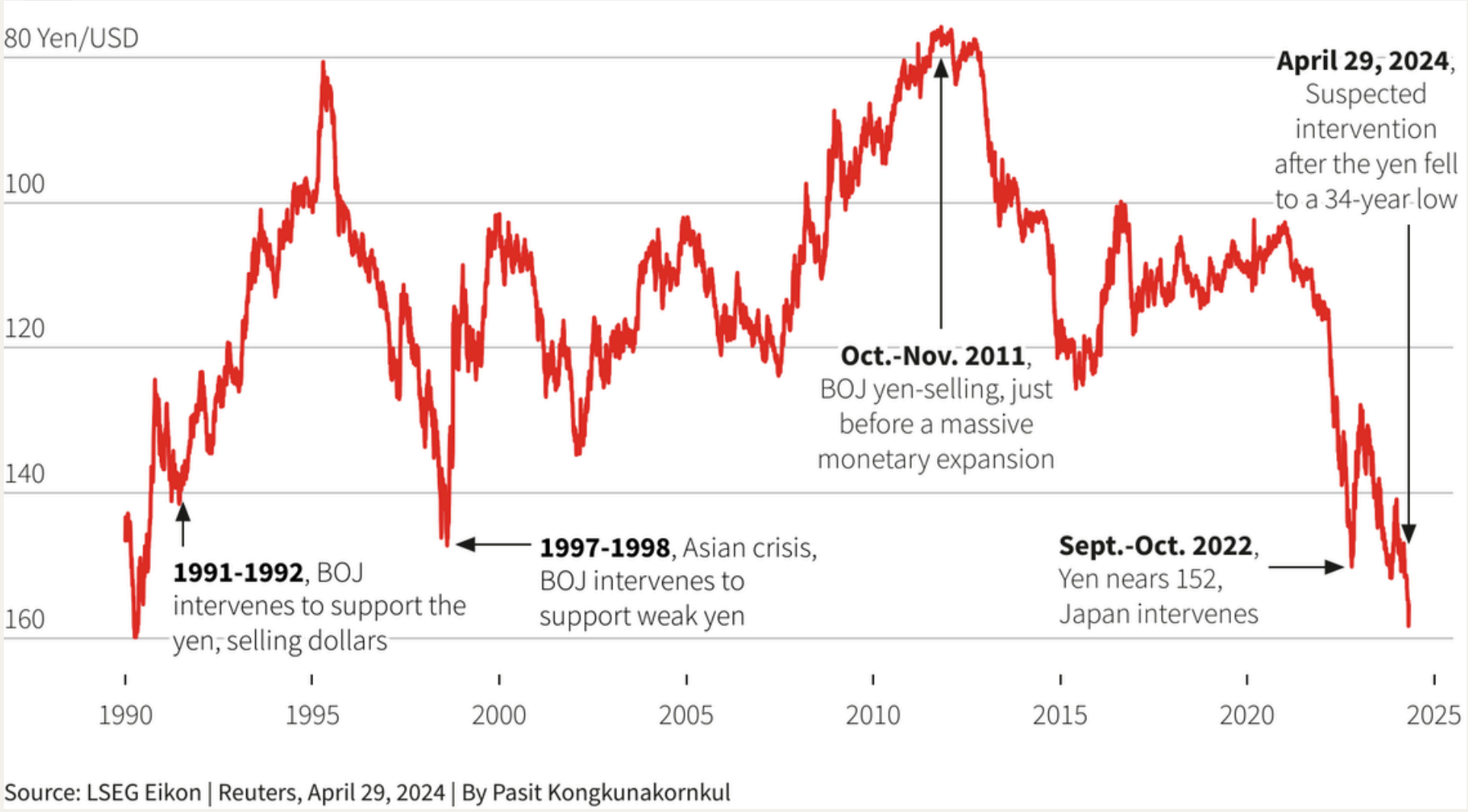
Why Now? The Yen's Weakness

The yen has fallen about 30% against the dollar since 2022, making Japanese companies more affordable for foreign buyers.



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Why Now? Undervaluation

Japanese companies are often undervalued compared to global peers, partly due to historically low interest rates and a less aggressive focus on profitability.

This creates an opportunity for foreign investors to acquire Japanese technology and services at a discount.

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Why Now? Shifting Corporate Landscape

- Governance reforms are pushing Japanese CEOs to be more receptive to unsolicited bids.
- Activists investors are gaining traction, demanding better shareholder returns.
- The Tokyo Stock Exchange is urging companies to boost capital efficiency.

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Profitability Gap: A Key Vulnerability

- A key driver of foreign interest is the profitability gap between Japanese and international companies.

- Seven & i's five-year average ROE was about 7.5%, while Couche-Tard's was 23%.

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Cultural Resistance: A Hurdle to Overcome

Traditional Japanese corporate culture often prioritizes stability and employee well-being over shareholder profit maximization.

This can create resistance to foreign acquisitions, which are seen as disruptive.

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Who's Next? Potential Targets

Analysts are already speculating which Japanese companies could be next on the radar of foreign bidders.

Yakult? Konami? Canon? Nintendo? Yamaha?

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Implications for Japan

Increased foreign investment could bring benefits like improved corporate governance and greater efficiency, but also raises concerns about potential job losses and cultural changes.

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A New Era for Japan?

- The 7-Eleven bid may mark the start of a new era for Japanese M&A, with foreign companies playing a more prominent role.

- The outcome of this deal, and the response of Japanese corporations, will have significant long-term implications

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Take a moment to reflect...

- What Key Financial Metrics Will ACT Use to Measure the Success of Its Investment in Seven & i Holdings? (Profitability, Revenue Growth, Synergy Realization, etc.)

- Is ACT interested in acquiring Seven & i Holding's technological capabilities or its expertise in areas like supply chain management or customer loyalty programs?

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Source: WSJ & FinancialTimes

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